assets which sell for little because they are unsuccessful. In other words, the small-company group, in terms of market value, has a definite *bias* on the side of poor earnings and consequent low market value in relation to assets. The correct explanation of the large over-all premium, in the face of so many companies selling at a discount, seems to be merely that the premium paid for the typical successful company averages much higher than the discount registered by the unpopular concerns.

It may be noted also that 54 individual companies, or 8% of the total, sold for less than net current assets alone at the end of 1938. At the 1937–1938 lows this was true of no less than 133 companies, or 1 out of 5. At the 1937–1938 highs there was not a single company in this situation.

Our study of earnings covered the one, three and five years ending with 1938. As far as any concept of a "normal," or representative, period can be formed, the five-year earnings appear most suitable—since 1938 alone was undoubtedly a poor year, and the 1936–1938 triennium may be a little too heavily weighted by prosperous conditions. On this point the reader must form his own conclusions. In any event it will be seen that the listed industrial common stocks were valued at the end of 1938 at 19.5 times their average earnings in the five years preceding (a 5.1% earnings basis) and at 16.6 times their three-year average (a 6% basis). On the 1938 results alone the multiplier rises to 28 times, and the earnings yield falls to 3.6%. But, again, analysis of the individual figures will show a tendency for the liberal prices accorded the shares of the successful companies to obscure, in the totals, a large number of concerns that were selling at very modest figures in relation to their earnings record.

Characteristics of Industrial Groups

The division of the 648 companies into industrial categories must necessarily be in good part a matter of arbitrary choice. The *New York Stock Exchange Bulletin* allocated these companies to 27 groups; we found it advisable to subdivide these further into 67 families. Of these the largest, in terms of market value, was the oil group—followed by heavy chemicals and automobiles. The top seven families, comprising 111 companies, were worth 19.3 billions, or 53% of the total.

Table II shows in detail the wide range of performance of the 67 subgroups. The following supplementary classification may be of interest: